

Amendment No. 1 to SB2305

Briggs
Signature of Sponsor

AMEND Senate Bill No. 2305*

House Bill No. 2469

by deleting all language after the caption and substituting:

WHEREAS, Tennessee is home to approximately 303,000 veterans and their surviving spouses; and

WHEREAS, ten percent of these veterans and surviving spouses qualify for Medicaid reimbursement of their long-term care; and

WHEREAS, twenty percent of these veterans and surviving spouses also qualify for the aid and assistance benefits from the United States Department of Veterans Affairs, meaning more than 6,000 veterans and surviving spouses could receive federally subsidized care to assist them with the activities of daily living and could avoid long-term care subsidized by Medicaid; and

WHEREAS, the provision of such aid and assistance benefits to 6,000 veterans and their surviving spouses would save the State of Tennessee more than \$56,000 dollars per veteran per year, for a total State savings of more than \$345 million annually; and

WHEREAS, the General Assembly finding these facts as true, hereby adopts the 2026 Aid and Assistance Incentive Act; now, therefore,

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. This act is known and may be cited as the "2026 Aid and Assistance Incentive Act."

SECTION 2. Tennessee Code Annotated, Title 4, Chapter 4, is amended by adding the following as a new part:

4-4-201.

As used in this part:

(1) "Aid and assistance benefit" means the federal pension benefit administered by the United States department of veterans affairs for wartime veterans and their surviving spouses who require assistance with activities of daily living;

(2) "Division" means the division of TennCare;

(3) "Long-term care assessment" means the financial, medical, and eligibility evaluation conducted under the supervision of an attorney accredited by the United States department of veterans affairs, for the purpose of determining qualification for federal aid and assistance benefits;

(4) "Pension claims assistance provider" or "provider" means a person or entity that exclusively assists veterans or their surviving spouses with preparing a long-term care assessment to determine eligibility and prepare a claim for aid and assistance benefits and who:

(A) Does not engage in the sale of financial products, annuities, or insurance;

(B) Is compensated for conducting a long-term care assessment at the time the assessment service is rendered and submitted to the state;

(C) Has the capacity to accommodate a minimum of three hundred (300) clients per month;

(D) Possesses a minimum of five (5) years of successful experience assisting with federal veterans pension claims;

(E) Is able to document at least five thousand (5,000) verifiable federal veterans pension claim approvals; and

(F) Is accredited by the U.S. department of veterans affairs, or operates under the direct supervision of a U.S. department of veterans affairs' accredited attorney or claims agent;

(5) "PIV card" means a personal identity verification credential issued pursuant to federal standards under Homeland Security Presidential Directive 12 (HSPD-12) that authorizes secure access to federal systems and information;

(6) "PIV card holder" means an individual who has been issued and maintains an active personal identity verification credential in good standing;

(7) "Qualified provider" means a pension claims assistance provider that meets all requirements established in this part;

(8) "Surviving spouse" means an individual who:

(A) Was married to the veteran for at least one (1) year prior to submitting a claim for aid and assistance benefits;

(B) Was married to the veteran at the time of the veteran's death; and

(C) Has remained unmarried since the veteran's death; and

(9) "Veteran" means a person who:

(A) Served at least ninety (90) days of active duty service in the armed forces of the United States, with at least one (1) day occurring during a declared wartime period;

(B) Was discharged or released under conditions other than dishonorable; and

(C) Is sixty-five (65) years of age or older or unemployable.

4-4-202.

(a) The division shall as soon as practicable, but in all cases, within ninety (90) days, reimburse a qualified provider for expenses incurred in the preparation of a long-term care assessment.

(b) A qualified provider submitting claims for reimbursement under this section shall:

(1) Ensure that any individual with access to a veteran's medical or financial information undergoes a background check conducted by a reputable source, including identity verification and a criminal history records check;

(2) Employ a minimum of two (2) individuals who are active PIV card holders;

(3) Have maintained at least two (2) active PIV card holders continuously for a minimum of two (2) years prior to applying for qualification under this part;

(4) Prepare, present, and prosecute the aid and assistance benefit application on behalf of the veteran or surviving spouse free of charge; and

(5) Operate exclusively for the purpose of assisting veterans and surviving spouses with aid and assistance benefit eligibility and claims.

(c) A qualified provider shall not:

(1) Impose success-based fees, or any other form of compensation related to a reimbursed assessment;

(2) Assess any fee, directly or indirectly, to a veteran or surviving spouse for a long-term care assessment, including, but not limited to, any consultation fees, administrative fees, document preparation fees, or processing fees;

(3) Engage in the business of selling annuities or insurance products to veterans;

(4) Utilize international call centers or international data centers to process, store, or transmit a veteran's personal, financial, medical, or benefits information; or

(5) Use a veteran's personal log-in credentials to directly access the veteran's medical, financial, or government benefits information.

(d) A violation of this section may result in suspension, potential removal from the program, and repayment of improperly collected funds as determined by the division.

(e) If a qualified provider falls below the required minimum of two (2) PIV card holders due to separation or termination of employment, then the provider shall:

(1) Provide written notice to the division within five (5) business days of falling below the minimum requirement, including an explanation of the circumstances and the steps being taken to restore compliance; and

(2) Have a grace period of one hundred twenty (120) days to hire and secure certification for a replacement employee. Failure to restore compliance within the grace period results in suspension from the program until compliance is achieved.

(f) The division may establish by rule a maximum reimbursement amount for each long-term care assessment, not to exceed one thousand five hundred dollars (\$1,500) per assessment. The reimbursement rate may be adjusted periodically to account for inflation or documented increases in the cost of providing assessment services. Such rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in chapter 5 of this title.

4-4-203.

(a) The division shall administer the program and review billings submitted by qualified providers.

(b) The division shall establish standardized billing procedures and documentation requirements to ensure that assessments reimbursed under this part are legitimate and complete.

(c) The director of TennCare shall convene an oversight committee composed of:

(1) The director of TennCare or the director's designee;

(2) A representative from the department of finance and administration;

- (3) A representative from the comptroller of the treasury;
- (4) One (1) member appointed by the speaker of the senate; and
- (5) One (1) member appointed by the speaker of the house of representatives.

(d) The oversight committee shall review annual expenditures under the program and ensure audit of submitted billings for compliance by the comptroller of the treasury.

4-4-204.

(a) Each qualified provider participating in the program shall submit an annual transparency report to the division on or before March 1 of each year.

(b) The report must include:

- (1) The total number of veterans and surviving spouses served;
- (2) The total number of claims submitted;
- (3) The total number of claims approved;
- (4) The average time from assessment to submission; and
- (5) The total amount billed to the state under this program.

(c) On or before March 1 of each year, the division shall compile a summary report and submit it to the speaker of the senate and the speaker of the house of representatives and submit a copy to the legislative librarian.

SECTION 3. The director of TennCare shall apply for a block grant from the United States Department of Veterans Affairs for the purposes of funding the reimbursements required under this part. A reimbursement must not be made until the director certifies to the speakers of the house of representatives and senate that said grant funds have been received and are available for expenditure.

SECTION 4. For purposes of promulgating rules and forms, this act takes effect upon becoming a law, the public welfare requiring it. For all other purposes, this act takes effect July 1, 2026, the public welfare requiring it.